

Results of Operations

The following discussion of our consolidated results of operations and segment results refers to the year ended December 31, 2015 compared to the same period in 2014 and the year ended December 31, 2014 compared to the same period in 2013. The results of operations should be read in conjunction with the discussion of our segment results of operations, which provide more detailed discussions concerning certain components of the Consolidated Statements of Income. All significant intercompany accounts and transactions between our segments have been eliminated and the below information has been prepared in conformity with generally accepted accounting principles in the United States of America ("GAAP").

Our operating income for the year ended December 31, 2015 was negatively impacted by \$35.3 million of expenses recorded in the second quarter of 2015 for a settlement agreement between the Consumer Financial Protection Bureau (the "CFPB") and one of our subsidiaries, Paymap, Inc., which operates solely in the United States, related to restitution, penalties, and other costs (the "Paymap Settlement Agreement"). These charges are reflected within "Selling, general and administrative" expenses in our Consolidated Statements of Income and have been recognized within our Consumer-to-Business operating segment.

The following table sets forth our consolidated results of operations for the years ended December 31, 2015, 2014 and 2013.

	Year Ended December 31,			% Change	
	2015	2014	2013	2015 vs. 2014	2014 vs. 2013
<u>(in millions, except per share amounts)</u>					
Revenues:					
Transaction fees	\$ 3,915.6	\$ 4,083.6	\$ 4,065.8	(4)%	0 %
Foreign exchange revenues	1,436.2	1,386.3	1,348.0	4 %	3 %
Other revenues	131.9	137.3	128.2	(4)%	7 %
Total revenues	5,483.7	5,607.2	5,542.0	(2)%	1 %
Expenses:					
Cost of services	3,199.4	3,297.4	3,235.0	(3)%	2 %
Selling, general and administrative	1,174.9	1,169.3	1,199.6	0 %	(3)%
Total expenses	4,374.3	4,466.7	4,434.6	(2)%	1 %
Operating income	1,109.4	1,140.5	1,107.4	(3)%	3 %
Other income/(expense):					
Interest income	10.9	11.5	9.4	(5)%	22 %
Interest expense	(167.9)	(176.6)	(195.6)	(5)%	(10)%
Derivative gains/(losses), net	1.2	(2.2)	(1.3)	(a)	(a)
Other income/(expense), net	(11.8)	(5.0)	7.0	(a)	(a)
Total other expense, net	(167.6)	(172.3)	(180.5)	(3)%	(5)%
Income before income taxes	941.8	968.2	926.9	(3)%	4 %
Provision for income taxes	104.0	115.8	128.5	(10)%	(10)%
Net income	\$ 837.8	\$ 852.4	\$ 798.4	(2)%	7 %
Earnings per share:					
Basic	\$ 1.63	\$ 1.60	\$ 1.43	2 %	12 %
Diluted	\$ 1.62	\$ 1.59	\$ 1.43	2 %	11 %
Weighted-average shares outstanding:					
Basic	512.6	533.4	556.6		
Diluted	516.7	536.8	559.7		

(a) Calculation not meaningful